rules. A concern that arises is that if same standards are not implemented in all jurisdictions simultaneously, there could be scope for regulatory arbitrage that could result in financial activity migrating to less-regulated jurisdictions, as well as into shadow banking. In the short run, there are also concerns that tightening of regulatory standards, even while recovery in advanced economies from the past and continuing crisis is not over, may make banks risk averse and adversely impact financial intermediation and lending to the *real sector* (i.e. the *real estate* sector).

Development Issues

The *G-20 Development Agenda* comprised a Multi-Year Action Plan based on **nine pillars** announced at the Seoul Summit, of which the French Presidency focused on *infrastructure* and *food security* for the Cannes Summit. The other pillars are *human resource development; trade; private investment and job creation; financial inclusion; growth with resilience; knowledge sharing;* and *domestic resource mobilisation.* Many of these issues have been in the subject domain of a number of developmental agencies.

While India has assigned high priority to issues relating to development appropriate to country-specific conditions, an issue deserving priority is of recycling global savings for infrastructure investment. Enhancing infrastructure investment in emerging economies and developing countries would have positive implications for rebalancing global demand as also for reviving and sustaining growth. At the same time, high savings would find productive use.

Role of Finance in Development

While on one side, global forums like the G-20 and international regulatory bodies continued to deliberate on issues relating to financial regulation, the year 2011 was also marked by rising concern across the world that ‘finance’ had somehow got de-linked from serving the interests of the real economy and that various regulatory and compensation practices are out of sync with the needs of the rest of the economy.